Practice workbook · Boston matrix and the product portfolio

Stars, cash cows, question marks and dogs, and using the matrix to review and balance a product portfolio.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-S4-05

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part e only.

2 (a) State **one** way *TBTS* can measure its success as a business.

(1)

(b) State **one** reason why *TBTS* might segment its market.

(1)

(c) Explain **one** benefit to a business of having a flat organisational structure.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 0 7 3 5 A 0 8 2 0

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part e only.

(d) Explain **one** method a small business might use to increase its profit.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(e) Explain **one** benefit to a business of using the Boston Matrix.

(3)

OLevels.com SCHOOL

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part e only.

TBTS wants to sell a wider variety of toys. It is planning to buy these toys from other suppliers. This will need new finance.

TBTS is considering two options:

Option 1: using retained profits

Option 2: getting a bank loan.

(f) Justify which **one** of these two options *TBTS* should choose.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part a.ii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

OLevels.com SCHOOL

2. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

OLevels.com SCHOOL

3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part d · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

OLevels.com SCHOOL

4. Question 1 · part d · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part d only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 1 · part d · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

OLevels.com SCHOOL

A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

€.....

P 7 2 6 7 0 R A 0 5 2 0

5

Turn over ▶

4. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

8

P 7 5 8 4 2 A 0 8 2 0

5. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part a.ii · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *Posh Pets Spain* (*PPS*) is a pet hotel in the village of Alhaurin el Grande, Spain. It is run by Rachel Goutorbe, an animal enthusiast, and her team of four pet specialists. *PPS* offers overnight accommodation with room for seven dogs or cats, a pet grooming service and a shop selling pet products, such as dog coats and dog leads. Pet grooming involves washing, cutting and combing a pet's coat.

(a) (i) Which **one** of the following is protected by legislation?

Select **one** answer.

(1)

☒ **A** Skills

☒ **B** Age

☒ **C** Experience

☒ **D** Ability

(ii) Which **one** of the following represents a star product on the Boston matrix?

Select **one** answer.

(1)

☒ **A** High market growth, high market share

☒ **B** High market growth, low market share

☒ **C** Low market growth, high market share

☒ **D** Low market growth, low market share

(iii) Which **one** of the following is the method of production where one unit of output is completed at a time?

Select **one** answer.

(1)

☒ **A** Lean

☒ **B** Flow

☒ **C** Batch

☒ **D** Job

OLevels.com SCHOOL

6. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

4 **Figure 2** shows the total cost to *TUI* of employees' salaries.

Total cost of employees	€ '000
2021	39 631
2022	57 498

Figure 2

(a) Calculate, to two decimal places, the percentage increase in the total cost of employees from 2021 to 2022. You are advised to show your working.

(2)

.....%

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 8 4 3 A 0 1 8 2 4

7. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

(b) Analyse how *TUI* could make use of the Boston Matrix to review all the different types of holidays it offers.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

(c) Evaluate the benefits for *TUI* of providing a quality service. You should use the information provided as well as your own knowledge of business.

(12)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL